AIB AXYS AFRICA

Q4 INVESTMENT PLAY 2025

HEAT RETURNS TO THE STREET



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AFDB	African Development Bank
CBK	Central Bank of Kenya
CBR	Central Bank Rate
ECF	Extended Credit Facility
EFF	Extended Fund Facility
EMDE	Emerging Markets and Developing Economies
EU	European Union
FDI	Foreign Direct Investment
GD	Gross Domestic Product
IMF	International Monetary Fund
KES	Kenya Shilling
KNBS	Kenya National Bureau of Statistics
KRA	Kenya Revenue Authority
LCU	Local Currency Units
MPC	Monetary Policy Committee
NSE	Nairobi Securities Exchange
PMI	Purchasing Managers Index
RSF	Resilience and Sustainability Fund
SDR	Special Drawing Rights
SSA	Sub-Sahara Africa
USD	United States Dollar
VAT	Value Added Tax

Q4 INVESTMENT PLAY 2025

AIB-AXYS AFRICA

STOCK BROKING

Treasury Bonds

Treasury Bills

Off-shore Investments



STOCKBROKING

As a licensed Stockbroker. AIB-AXYS Africa provides a platform for local and foreign investors to buy and sell shares of Companies listed on the Nairobi Securities Exchange. Our team of experienced Equities dealers act with integrity and professionalism at all times and in the best interest of our clients to assist them to make informed and timely investment decisions.

Our trading philosophy is anchored on precise and timely execution of clients orders while maintaining the highest standards of transparency, client confidentiality and independence.

BOND TRADING

Our Bond dealing desk offers investors' access to Fixed income securities such as T-bills, T-bonds, and Corporate bonds issued in the primary market and subsequently trading in the secondary market.

Our bond dealers command a combined experience of over 20 years in the Kenyan market with a solid track record of delivering value to Fixed income investors through regular insight on interest rates movements and market sentiment as well as first class execution of trades.



CORPORATE FINANCE

We enable access to over 1,000 international physical securities from some of the world's most prestigious exchanges, including the NYSE (New York Stock Exchange), NASDAQ, LSE (London Stock Exchange), and HKEX (Hong Kong Exchange and Clearing).

Whether you're an experienced investor or just starting out, AIB-AXYS Africa empowers you to diversify your portfolio with global assets across multiple industries and geographies. We give you seamless access to a wide range of global equities, bonds and exchange-traded funds (ETFs), allowing you to invest in top-performing companies and sectors from the U.S., Europe, Asia, and beyond

INTERNATIONAL INVESTMENTS

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Invest in global stocks, mutual funds, ETF's, commodity markets and fixed income (corporate and government bonds) spanning diverse global geographies.

- Capital protection
- Outperformance of local economic conditions
- Minimize exposure to currency risk



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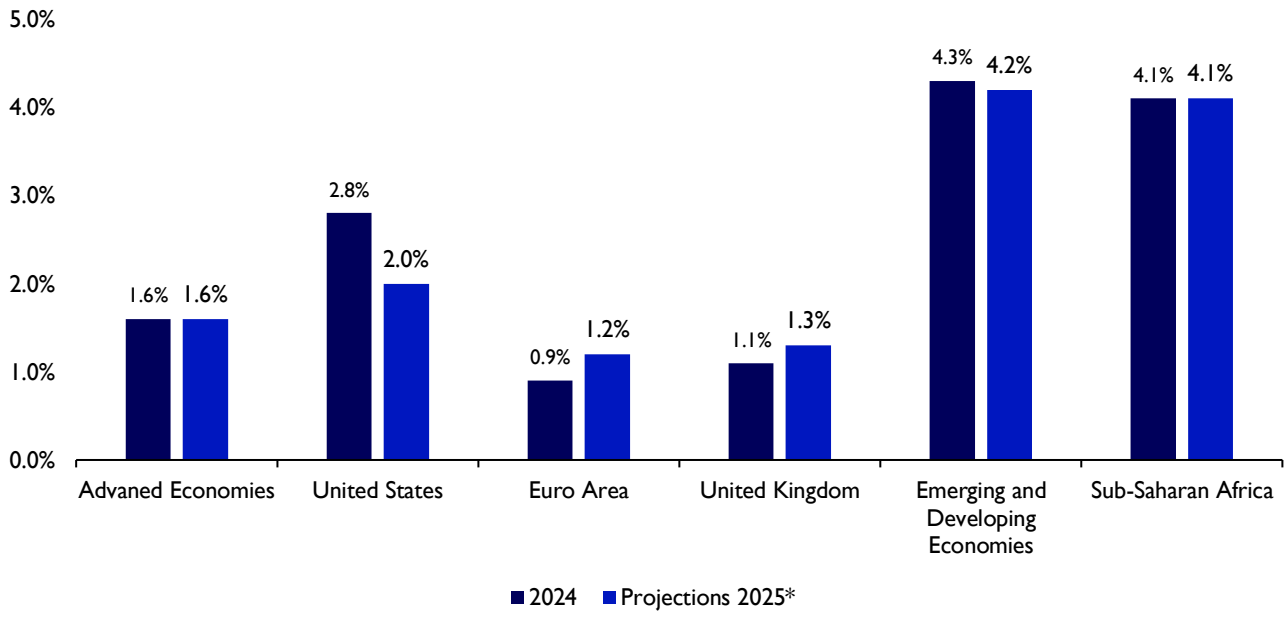
Global Market Outlook

When Policy Shocks Meet Market Optimism

So far, 2025 has painted a picture of volatility and policy changes, thanks to stronger-than-expected front-loading by businesses and households bracing for higher tariffs, which actually cushioned tariff impacts. Consequently, the global growth outlook for 2025 was revised upwards by the International Monetary Fund to 3.2% (and 3.1% in 2026) in their latest update from 2.9% in April. At the same time, global inflation is expected to gradually ease to 4.2% in 2025 and 3.6% in 2026. More impacts of tariffs are expected to be felt in the coming quarters as businesses gradually pass on tariff costs to consumers. Despite several progresses regarding tariffs and trade policies, including the signing of various trade agreements between the U.S. and its key trading partners, there still remains an overhang blurring the overall outlook. Geopolitical tensions also pose a near-term risk.

On a brighter note, markets appear to have become more desensitized to tariff-related headlines and "*heat has returned back to the street*", allowing global equities to continue rallying and reach new all-time highs following the pullbacks seen in April. In major economies such as the U.S., the technology and communication sectors are expected to remain resilient, buoyed by the ongoing AI boom and substantial capital expenditure in the field. Yield curves have continued to steepen, as widening fiscal deficits across major economies have pushed bond investors to demand higher premiums as compensation for duration risk amid persistent spending and budgetary troubles.

Chart 1: Regional Growth Projections



Source: IMF October 2025 World Economic Outlook, AIB-AXYS Research



Looking ahead, although the global economy has shown signs of resilience largely due to tariff-related developments, the near-term and long-term outlook remains dim. A clearer picture will emerge as we head into 2026, removing the effects of front-loading. This has already started taking shape, as seen in China's higher-than-expected growth in the first half of 2025, which is expected to slow down going forward.

Monetary Policy Front

Global economies have maintained a cautious stance on their monetary policies, striking a balance in their dual mandate of managing inflationary pressures and stimulating economic growth. With expectations of inflation remaining anchored (on the back of easing global demand and energy prices), some have embarked on easing their policies. In the US, the Fed has already enacted a 25-bps cut, and the market has priced in two more rate cuts in 2025, informed by stable inflation levels, albeit higher than the 2.0% target. The Fed is now more focused on the labor market, which has already shown some cracks, with reports pointing to softening. In the Euro area, monetary policies are expected to remain unchanged at 2.0%. On the other hand, as tariff-induced inflation climbs, Japan is expected to embark on rate hikes going forward as new leadership takes the reins of power. This comes at a time when Japan is trying to strike a balance with sticky inflation. The incoming Prime Minister is perceived to favor fiscal spending, and it is worth noting that there have been growing concerns over increased debt levels in Japan.

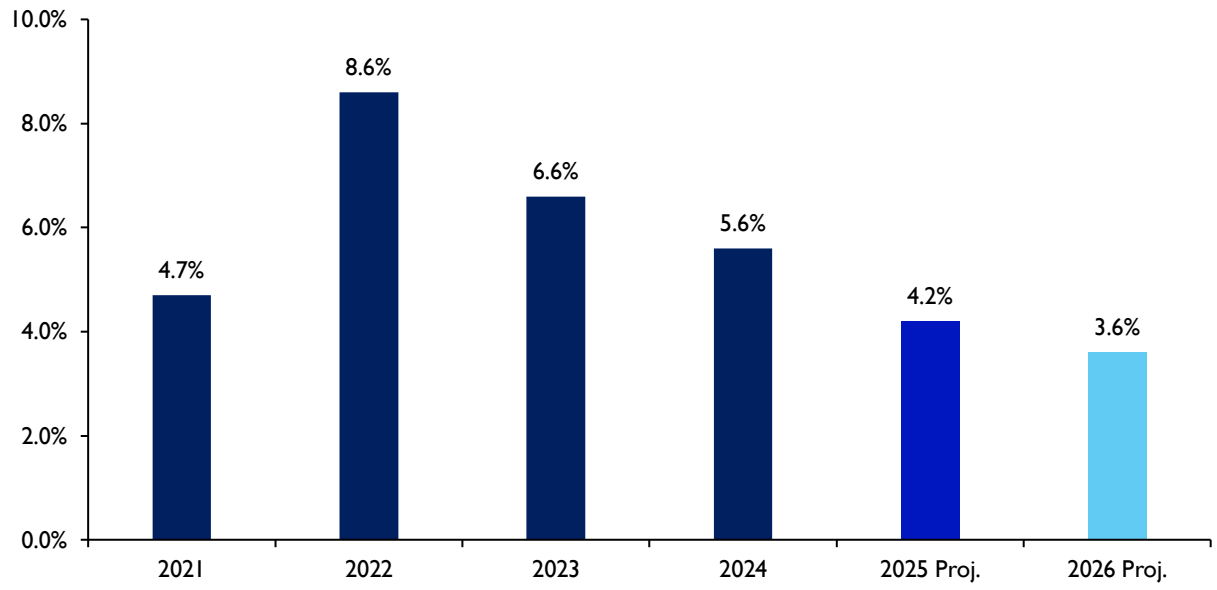
Central Banks Walk a Tightrope Between Growth and Inflation

According to the International Monetary Fund (IMF), major central banks are poised to maintain a neutral fiscal policy position, a change from the earlier assumed tighter fiscal stance established at the beginning of the year. In the US, the fiscal deficit is expected to remain exacerbated by the passage of the One Beautiful Bill Act earlier in the year; public debt in the US is projected to continue rising, reaching 143.0% of GDP by 2030. In the Euro area, increased spending on infrastructure and military capacity is expected to widen Germany's fiscal deficit. In addition, the Euro area's debt-to-GDP ratio is expected to climb to 92.0% from 87.0% in 2024. In emerging and developing markets, fiscal policy is expected to tighten by an average of 0.2 bps of GDP. Going forward, public debt in emerging and developing countries is expected to reach 82.0% of GDP by 2030, compared to 70.0% in 2024.

Global CPI

Despite tariff policies, global headline inflation is expected to slow to 4.2% in 2025 from 5.6% in 2024 and further to 3.7% in 2026, driven by reduced global demand and lower energy prices. Increased oil production by OPEC+ and non-OPEC producers, coupled with softening global demand, will moderate oil prices, thereby curbing inflationary pressures. The main risk facing oil prices, with the potential to cause a flare-up, is geopolitical tension in the Middle East and Eastern Europe, which could disrupt global supply chains. A glimpse of this volatility was seen in June this year when Iran threatened to close the Strait of Hormuz following US strikes. Oil prices spiked briefly but eased after tensions cooled. In the US, inflation is expected to remain well above the Fed's 2.0% target range and is only projected to align with the target in 2027. Inflation levels are expected to heat up as firms gradually pass on costs to consumers. Front-loading by businesses and households in anticipation of higher tariffs helped to cushion the impact of tariffs. In the UK, headline inflation has remained sticky, although core inflation was resilient in August. Interestingly, China's inflation has remained relatively low due to subdued domestic demand.

Chart 2: Global CPI Forecast



Source International Monetary Fund AIB-AXYS Research



Asset Classes Shake Up So Far

Gold has stolen the show in 2025 amid a weakening dollar, geopolitical tensions, and rising fiscal concerns as public debt continues to mount. Gold has presented a compelling opportunity as a safe-haven investment, closing September at USD 3,784.33 per ounce as of 30th September, translating to a YTD performance of approximately 46.1%, outpacing the S&P 500, which closed the quarter at 38.0%. Against the backdrop of a volatile and depreciating US dollar, central banks are increasingly ramping up their reserves with gold, a slight departure from US dollar holdings. This does not mean, however, that the US dollar has lost its safe-haven appeal.

In the fixed income space, 2025 has so far seen bonds deliver stronger returns. In the US, the 10-year bond has remained range-bound between 4.25% and 4.5%, though it is expected to soften as we approach year-end. Investors are demanding a premium for longer durations, which is evident on the longer end of the curve where yields have been declining at a slower rate compared to the front end. Furthermore, in most developed markets, yields have moved in a similar pattern, rising more sharply on the longer end of the curve than on the shorter end.

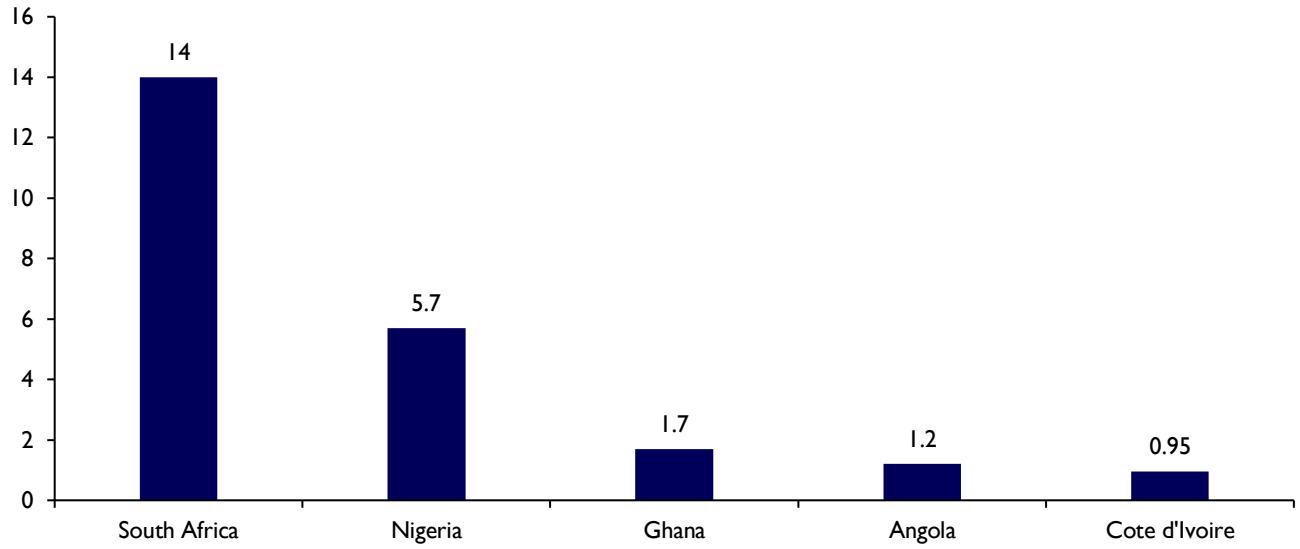
Sub-Sahara Africa Macro

Africa's Momentum Tested by Trade Risks

Sub-Saharan Africa is projected to grow by 4.1% in 2025, according to the IMF, ahead of the global growth outlook, supported by gradual macroeconomic normalization and reform efforts in key economies. Fuel-exporting countries in the region are, however, expected to face challenges from softening oil prices driven by subdued global demand. On a brighter note, other key commodities such as gold, coffee, cocoa, and copper are expected to remain resilient, boosting resource-intensive economies.

However, a cloudy outlook looms over African countries following the expiration of the African Growth and Opportunity Act (AGOA) on 30th September 2025. AGOA, which allows duty-free access to the US market, is yet to be renewed, complicating African markets' access to the US. If the agreement is not renewed, African economies may face higher tariffs, dampening their competitiveness in the US market. In addition, there is a risk of mass job losses if local firms are unable to sustain exports. Policymakers in the region should push for the renewal of the agreement to protect jobs. Furthermore, policy shifts in the US have affected foreign aid to some African nations, which could ultimately impact key sectors such as education and health in the near term.

Chart 3: Top SSA Exports to the US (Bn)



Source AGOA, AIB-AXYS Research

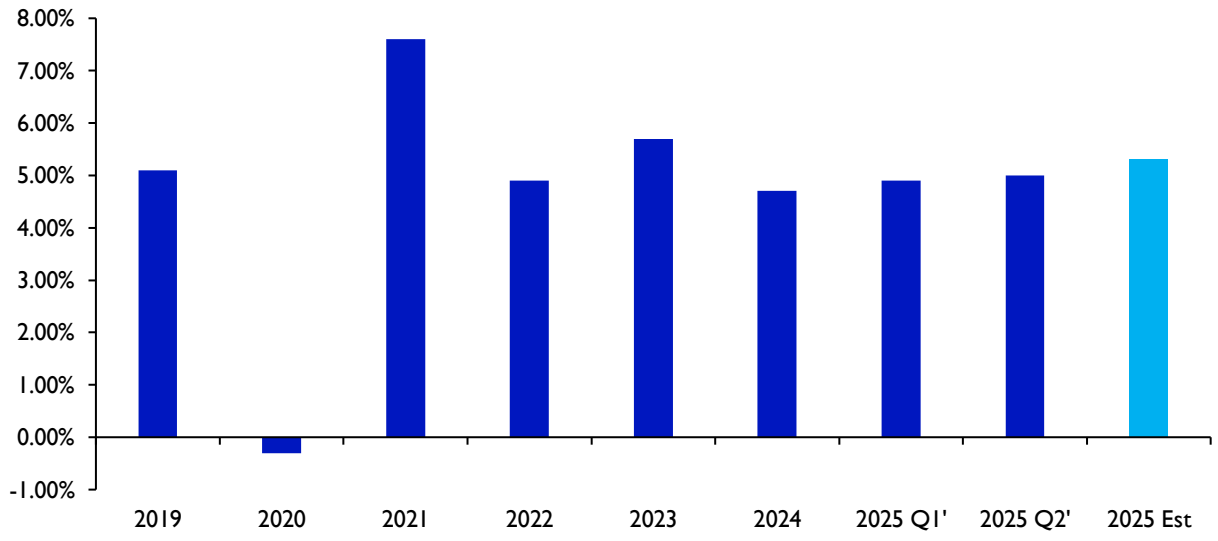
Kenya Macro Outlook

Kenya's Growth Momentum Gains Ground

Kenya's economy expanded by 5.0% in Q2 2025, an improvement from 4.6% in Q2 2024, underscoring a continued recovery in key sectors amid a stable macroeconomic environment. Growth was driven primarily by Agriculture (4.4%), supported by favorable weather conditions and higher output of coffee, horticultural exports, and dairy; Transportation and Storage (5.4%), boosted by increased fuel consumption, SGR cargo volumes, and port throughput; and Financial and Insurance activities (6.6%), which benefited from lower interest rates and improved credit access following monetary easing.

Rebounds were also recorded in Construction (5.7%) and Mining and Quarrying (15.3%), reflecting renewed activity in infrastructure development and mineral extraction. Additionally, Electricity and Water Supply expanded by 5.7%, driven by growth in geothermal, wind, and thermal generation. However, the Manufacturing sector remained subdued, growing by 1.0%, mainly constrained by declines in sugar and tea production despite gains in cement output and motor vehicle assembly. The quarter's performance was supported by a decline in inflation to an average of 4.4%, a strengthening shilling, and lower lending rates following the reduction of the Central Bank Rate to 9.75%, which enhanced liquidity and stimulated private sector lending. Nevertheless, the current account deficit widened on account of higher import demand, even as foreign reserves and investor confidence remained strong

Chart 4: Kenya Real GDP Growth and Forecasts



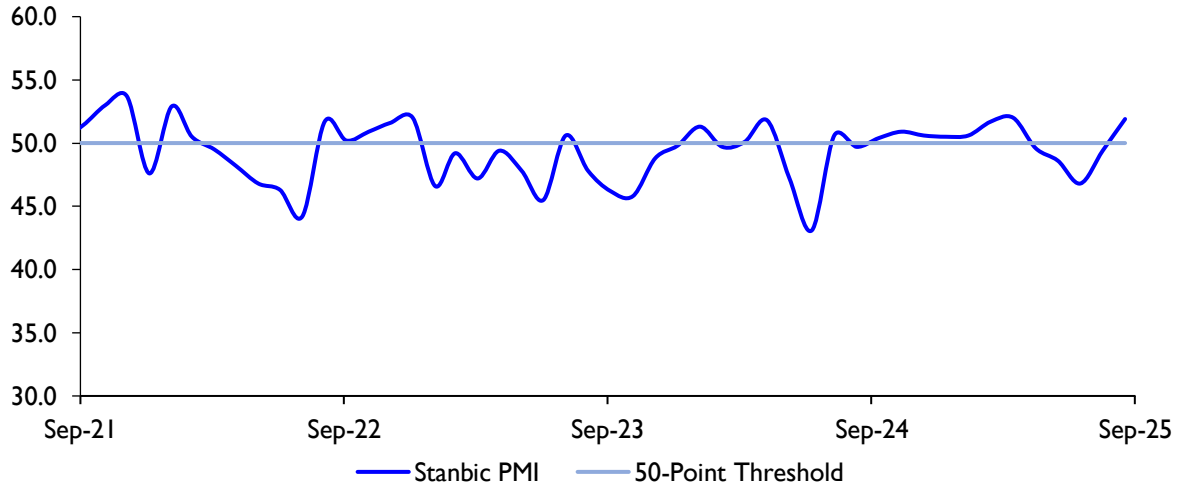
Source: KNBS, AIB-AXYS Research

Signs of Revival as Business Activity Rebounds

The Stanbic Bank Kenya PMI averaged 49.4 in Q3 2025, slightly below the 49.7 average in Q3 2024, pointing to a mild year-on-year deterioration in overall business conditions. However, the quarter displayed a clear intra-quarter recovery. Readings above 50.0 signal an improvement in business conditions in the previous month, while readings below 50.0 show a deterioration. July recorded sharp declines in output and new orders; the steepest in 12 months while employment remained stable and backlogs fell quickly. August showed near stability, with softer reductions in output and new orders, slight inventory growth, and rising business confidence to a 30-month high. September marked a clear turnaround: output and new orders expanded, employment rose at the fastest pace since May 2023, and supplier delivery times improved at the strongest rate in four years. Business sentiment remained constructive, underpinned by marketing initiatives, product diversification and expansion plans. Overall, the PMI indicated a transition from contraction to modest growth, with September's 51.9 reading signaling improving private sector conditions.

We expect private sector activity to sustain its recovery momentum into the next quarter, buoyed by improved domestic demand, enhanced business confidence, and easing cost pressures. The combination of stable inflation, exchange rate resilience, and gradual credit growth should support continued expansion in output and new orders. However, high input costs, elevated fuel prices, and lingering external uncertainties could moderate the pace of improvement. Overall, the PMI is projected to remain above the neutral 50.0 mark, signaling a shift toward steady and broad-based growth in business activity.

Chart 5: Stanbic Bank Kenya Purchasing Managers Index



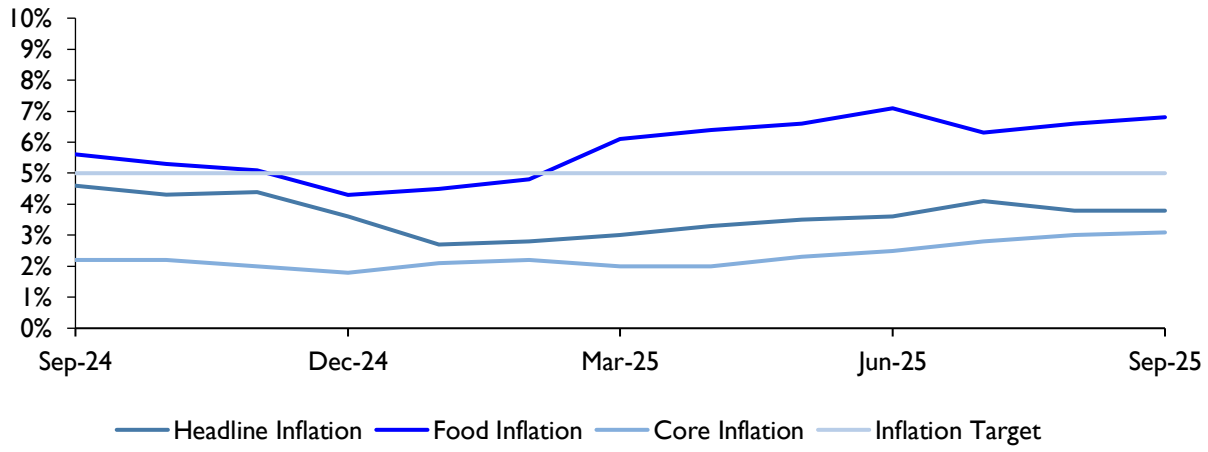
Source: Stanbic Bank Kenya, AIB-AXYS Research

Inflation Edges Higher but Remains Under Control

Kenya's inflation averaged 4.4% in Q3 2025, slightly higher than 4.1% in Q3 2024, signaling a mild but contained uptick in consumer prices. Headline inflation rose gradually from 4.1% in July to 4.6% in September, remaining comfortably within the Central Bank's target band of 2.5%–7.5%.

The marginal rise in inflation was mainly driven by higher fuel and transport costs, following adjustments in pump prices and increased electricity tariffs, which fed into production and distribution expenses. Food inflation also edged higher due to supply constraints in key staples, including maize and vegetables, amid erratic weather conditions. Nonetheless, core inflation remained anchored, reflecting price stability in non-food, non-fuel components such as rent, clothing, and household goods. Importantly, the relative stability of the shilling and moderation in global commodity prices cushioned against sharper price increases, underscoring the resilience of domestic price dynamics. Overall, inflationary pressures remained moderate, reflecting a stable macroeconomic environment aligned with the Central Bank's target range.

Chart 6: CPI Inflation



Source: Kenya National Bureau of Statistics, AIB-AXYS Research

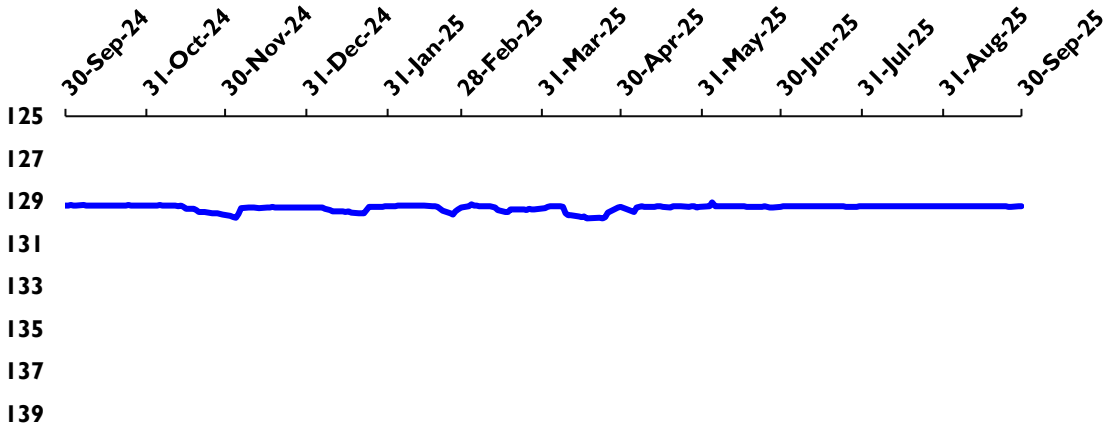
We expect inflation to remain anchored within the Central Bank's target range in the near term, supported by stable exchange rate dynamics, easing global commodity prices, and improving food supply as favorable weather conditions bolster agricultural output. However, lingering fuel cost adjustments, high electricity tariffs, and potential import cost pressures could introduce mild upside risks. Overall, inflationary trends are expected to stay moderate and predictable, providing a conducive environment for monetary policy stability and supporting domestic consumption recovery.

Kenya's Currency Holds Firm

The Kenyan shilling remained broadly stable, trading around KES 129.24 per USD, marking improved market confidence and a stronger external position. The currency's resilience was underpinned by ample foreign exchange reserves, which stood at USD 12.10 Bn, equivalent to 5.3 months of import cover, comfortably above the statutory minimum. Stability was further supported by healthy diaspora remittances, which continued to post consistent year-on-year growth, and steady export inflows from key sectors such as tea and horticulture. The successful USD 1.5 Bn Eurobond issuance, which attracted bids over four times the offered amount, reinforced external buffers and eased near-term refinancing pressures. Additionally, moderate inflation within the CBK target range and prudent monetary management helped contain exchange rate volatility, even amid a globally stronger US dollar. Overall, the shilling's outlook remains stable, anchored by sustained investor confidence, disciplined fiscal management, and an improving external balance, though global dollar trends and import cover dynamics remain key watchpoints.

Looking ahead, the shilling is expected to remain broadly stable in the near term, anchored by sustained inflows from exports and diaspora remittances, alongside improved investor sentiment following the successful Eurobond buyback. The enhanced reserve position will continue to cushion the currency against external shocks, while a relatively tight monetary stance by the Central Bank should help contain excess liquidity and limit speculative pressures. However, a stronger US dollar, fluctuations in global commodity prices, and potential import-driven demand pressures could pose headwinds. Over the medium term, currency stability will largely hinge on consistent fiscal discipline, timely external debt repayments, and robust remittance growth, all of which remain vital to preserving market confidence and external balance.

Chart 7: Kenya Shilling Performance Against US Dollar



Source: Central Bank of Kenya, AIB-AXYS Research

Table 1: Kenya Shilling Performance Against Select Currencies

KES Exchange Rate	30-Jun-25	30-Sep-25	% Change
USD/KES	129.2343	129.2404	▲ 0bps
EUR/KES	151.65	151.6507	▲ 0bps
GBP/KES	177.5227	173.46	▼ (229bps)
JPY(100)/KES	89.8427	86.9779	▼ (319bps)
YUAN/KES	18.0404	18.1531	▲ 62bps
RUPEE/KES	1.5112	1.4569	▼ (359bps)
RAND/KES	7.2797	7.4782	▲ 273bps
KES/UGX	27.8177	27.0039	▼ (293bps)
KES/TZS	20.5054	18.9956	▼ (736bps)

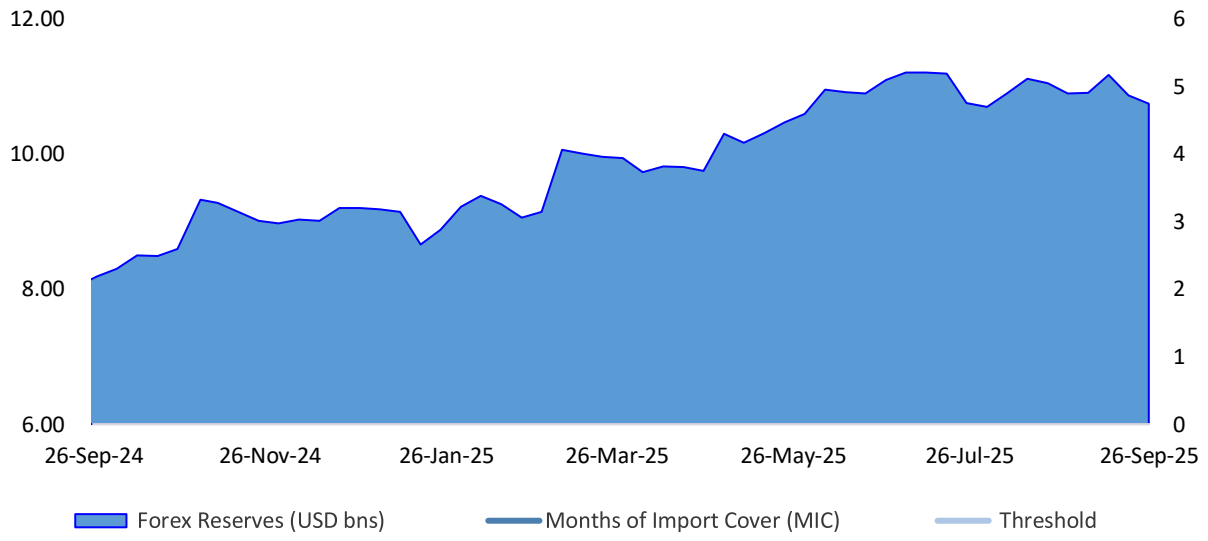
Source: Central Bank of Kenya, AIB-AXYS Research

Forex reserves

Kenya's foreign exchange reserves strengthened markedly, rising to USD 12.08 Bn, equivalent to 5.3 months of import cover, well above the CBK's four-month statutory threshold. This represents a significant improvement from USD 8.59Bn (4.4 months of cover) recorded in the same period last year, reflecting renewed external resilience. The uptick was driven by strong inflows from oversubscribed domestic bond reopening and tap sales, alongside steady diaspora remittances and moderating import demand, which eased pressure on the balance of payments.

The recent USD 1.5 Bn Eurobond issuance, which attracted bids worth over USD 7.3 Bn, further reinforced reserves by providing external liquidity and easing refinancing risks through the planned buyback of the 2028 Eurobond. With inflation contained and investor sentiment improving, the overall reserve position is expected to remain robust, providing a solid buffer against external shocks and supporting continued currency stability through the near term.

Chart 8: Forex Reserves Trend



Source: Central Bank of Kenya, AIB-AXYS Research



Tax man lags behind revenue targets

At the onset of FY'25/26, the government set a tone of pragmatism and realistic targets, having learnt its lessons from FY'2024/25, as evidenced by the downward revision of revenue estimates through supplementary budgets. In FY'25/26, we did not see the introduction of significant tax policies, which caused unrest in the country in FY'2024. For the first three months of the year, the government is already behind its prorated tax revenue estimates of KES 656.77 Bn, against the actual KES 553.67 Bn, representing approximately 84.3% performance. Total tax revenues are already underperforming at 83.5%. This sets a rough start for the financial year, meaning the government will be looking to the debt market to bridge this gap.

On the borrowing side, the government is ahead of its prorated borrowing targets at KES 425.74 Bn versus prorated estimates of KES 274.57 Bn. During the quarter, the government front-loaded borrowing, especially through the re-opening of investor favorites infrastructure bonds (due to their competitive returns and tax-free status). Infrastructure Bonds were highly subscribed, creating room for tap sales, which also performed well. From our point of view, the front-loading was necessary, considering the heavy coupons and maturities in August amounting to KES 260.5 Bn.

Looking ahead, we expect revenue shortfalls to persist due to tax underperformance. There is a high likelihood that supplementary budgets will revise revenue targets downwards. The business environment in the country is gradually improving, and near-term prospects are bright, which should play to the upside of the taxman. As revenue shortfalls persist, the government will continue relying on the debt market. Fortunately, the yield curve is softening, which will help contain debt costs.

Table 2: Fiscal Performance for the first three months of FY2025/2026

Item	Original Estimates	Actual Receipts	% of the prorated
Opening Balance		6.43	
Tax Revenue	2,627.06	553.67	84.3%
Non-Tax Revenue	127.65	21.58	67.6%
Total Revenue	**2,754.71**	**575.24**	**83.5%**
External Loans & Grants	569.81	18.73	13.1%
Domestic Borrowings	1,098.26	425.74	155.1%
Other Domestic Financing	10.80	5.50	204.0%
Total Financing	**4,433.57**	**1,025.22**	**92.5%**
Recurrent Exchequer issues	1,470.45	366.49	99.7%
CFS Exchequer Issues	2,141.03	546.76	102.1%
Development Expenditure & Net Lending	407.10	43.31	42.6%
County Governments+ Contingencies	415.00	66.13	63.7%
Total Expenditure	**4,433.57**	**1,022.70**	**92.3%**

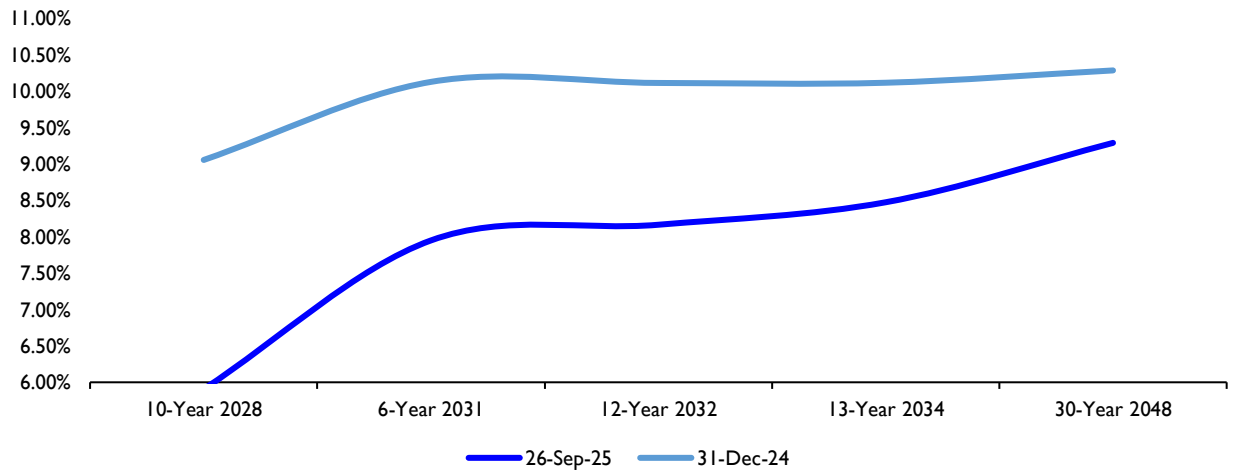
Source: National Treasury, AIB-AXYS Research

Borrowing Plan Year Ahead

The government released its borrowing plan for FY'25/26, targeting KES 634.75 Bn in net domestic borrowing through Treasury Bills and Treasury Bonds. Interestingly, it also earmarked KES 149.00 Bn as proceeds from privatization. So far, significant progress has been made on privatization efforts. The government envisages completing the Kenya Pipeline Company privatization by the end of the first quarter of 2026, having received parliamentary approval. The valuation of these entities will draw keen attention as investors assess whether the government can achieve its target and how the market will respond to the valuation that will be offered on the table. The government aims to raise 35.0% of net borrowing from external markets, focusing on concessional and semi-concessional financing, which are relatively cheaper than non-concessional loans, as part of efforts to manage risk exposure.

In its Medium-Term Debt Management Strategy, the government outlines plans to lower debt costs and mitigate refinancing and currency risks. In the domestic market, it intends to gradually reduce reliance on T-Bills and ramp up the issuance of medium- and long-term papers. Under its liability management program, bond buybacks and switch auctions are expected to feature prominently. It is commendable that the government has already begun implementing this plan through the partial buyback of the FXD1/2023/003 issue and the Eurobond buyback executed via the issuance of a USD 1.5 Bn Eurobond, which attracted USD 7.3 Bn in subscriptions. This strong demand underscores investor confidence. The proceeds were used to buy back the USD 1.0 Bn Eurobond maturing in 2028, with the balance allocated to budgetary support and debt refinancing. Prudent management of Kenya's Eurobonds has boosted market confidence, as evidenced in declining Eurobond yields; an indication that investors are demanding lower premiums to hold Kenyan debt.

Chart 9: Kenya Eurobond Yield Evolution



Source: Central Bank of Kenya, AIB-AXYS Research



MPC leg firmly on the pedal, interest rates keep sliding

Monetary Policy Committee (MPC) continued its dovish stance in its latest meeting in October, bringing the Central Bank Rate to 9.25% with another 25-bps cut, which was largely in line with our expectations, marking the eighth consecutive cut since August 2024. However, in the only Q3 meeting in August, we had expected the committee to keep the rates steady before resuming easing later in the year to give leeway for previous policy decisions to filter through the economy. The committee has been guided by the need to stimulate the economy and improve lending by banks to the private sector, which had been subdued. However, policy decisions are now bearing fruit, evidenced by growth in private sector lending, which has now picked up to 5.0% in September - a tangible development compared to the 2.9% contraction in January. In addition, the committee expects inflation to remain anchored within the CBK target in the near term, reinforcing its decision to ease.

Worth mentioning, during the quarter, the Kenya Shilling Overnight Interbank Average (KESONIA) was introduced, effective 1st September, as the new risk pricing model. The Total Lending Rate is defined as: Total Lending Rate = KESONIA + Premium (K). KESONIA is based on the average volume-weighted rate of unsecured overnight lending between Kenyan banks denominated in Kenya Shillings. Premium (K) accounts for the cost of funds, borrower-specific credit risk, and the expected return to shareholders. The Total Cost of Credit (TCC) is further defined as: TCC = KESONIA + Premium (K) + Fees & Charges. This model, in our view, will enhance policy transmission as well as improve the much-needed transparency in transmission when it comes into full operation in March 2026.

In our earlier review in May, we highlighted that we expected the committee to continue with the easing cycle through the year, projecting a year-end target of 8.5%–9.0%. We believe this is likely to materialize in the last meeting of the year in December; we foresee another 25-bps cut to bring the CBR to 9.0%. We also expect private sector credit growth to continue picking up as business conditions continue to improve in the country. We expect private sector credit growth to reach 8.5% by the close of the year. We do note that Non-Performing Loans remain elevated, which might limit credit extensions to the private sector; however, easing policy should favor loan performance and consequently offset NPL levels

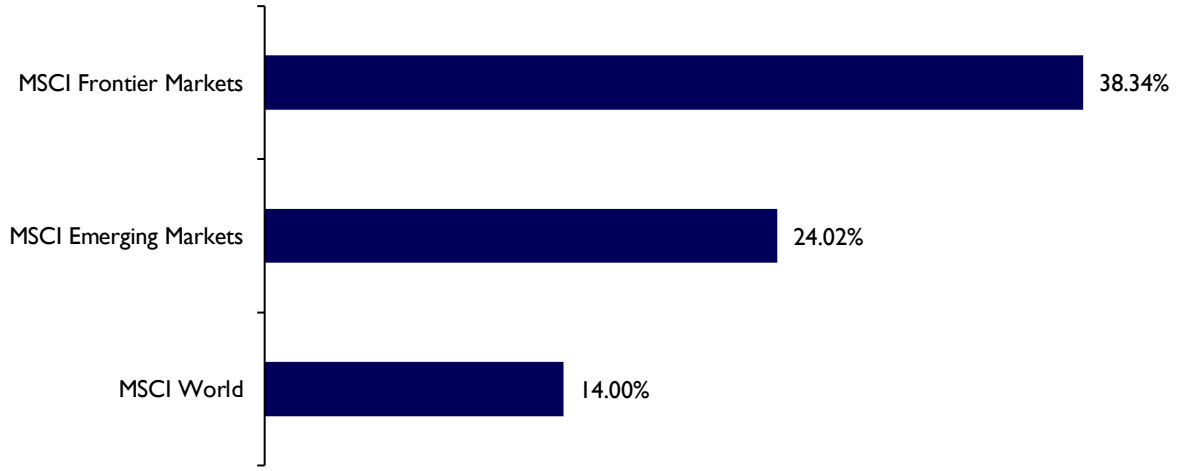
Equities Outlook

Global Equities

Following the signing of peace deal between US and key trading partners including Japan and UK, and the introduction of lower tariffs than earlier anticipated, tariff jitters slowly started fading away from the global market, and the market actually shrug off any tariff related developments remaining upbeat. In the US, half year earnings season painted a picture of resilient; tech sector was resilient remaining upbeat lifted the market sentiments. Magnificent seven were on their own league when results came out, their earnings growth was comparatively above their counterparts in S&P 500, tariff did not drag their performance; (S&P 500 added 5.5% in Q3). Performance was mainly driven by strong AI momentum. Emerging markets did not loosen the pedal on the wheel, accelerating to 24.02% in terms of YTD performance by the end of September.

AI narrative is expected to continue, however questions around its sustainability had emerged, been emerging if the bubble might or sustained perform, also adding to the concerns about CAPEX spending by major US tech firms after it emerged that China's DeepSeek's model was a more cost-efficient model Artificial Intelligence model. On the other hand, emerging and frontier markets had already demonstrated some insulation against tariff jitters compared to developed markets.

YTD Return as at September 30th 2025



Source: MSCI World, AIB-AXYS Research

Kenya's Equities

Strong Earnings and Policy Tailwinds Keep the Market on Fire

In Q3 2025, Kenya's equities market saw key indices reach all-time highs as "*heat returned to the street*"; the market carried on the momentum from the first half of the year. The market remained insulated against tariff jitters that had caused volatility in April, and even political unrest did little damage. On the policy front, another rate cut in August provided a tailwind as it continued to squeeze returns in the fixed income market. A stable shilling kept currency risk at bay, instilling confidence among foreign investors that their returns would not shrink once they took profits and repatriated funds. Impressively, in August, foreigners closed at a net buying position, which was commendable given the sustained outflows in recent years. The earnings season acted as a catalyst for the market; the banking industry, investors' favorite, did not disappoint, with most banks reporting growth in earnings and some increasing dividends; supporting market activities as investors took positions for dividends and capital gains.

Looking at the performance, Nairobi All Share Index (NASI); which measures the overall market performance, rose by 15.2% on a quarterly basis which was 66.1% y/y to close the quarter at 176.74 points. Over the quarter, the NSE 10 Index, NSE 20 Index, and NSE 25 Index registered gains of 17.6%, 21.8%, and 17.4%, respectively. Key large-cap stocks which lifted the market includes as Diamond Trust Bank, KCB Group Holdings, Equity Group and Safaricom which gained 35.3%, 21.8%, 18.6%, and 15.6%, respectively. The table below shows the market performance during the period;

Table 3: Kenya Equity Market Quarterly Statistics

Statistic	Q3'23	Q3'24	Q2'25	Q3'25	q/q% Change	y/y %Change
Equity Turnover (KES Mn)	17,211.48	17,391.58	28,429.64	45,981.78	▲ 61.7%	▲ 164.4%
Market Cap (KES Bn)	1,487.67	1,676.24	2,417.06	2,784.47	▲ 15.2%	▲ 66.1%
NSE All Share Index	95.22	107.08	153.43	176.74	▲ 15.2%	▲ 65.1%
NSE 10 Index	951.35	1,124.72	1,516.93	1,783.31	▲ 17.6%	▲ 58.6%
NSE 20 Index	1,508.75	1,775.67	2,440.26	2,972.64	▲ 21.8%	▲ 67.4%
NSE 25 Index	2,473.71	2,899.20	3,938.28	4,624.72	▲ 17.4%	▲ 59.5%
Foreign Buys	6,323.97	7,015.23	13,562.72	11,764.22	▼ (13.3%)	▲ 67.7%
Foreign Sales	9,864.14	14,657.18	13,739.28	15,575.65	▲ 13.4%	▲ 6.3%
Net F. Flows	(3,543.53)	7,015.23	(176.57)	(3,811.43)	▼ (2258.6%)	▼ (154.3%)
Total Volume Traded (Mn)	1,056.33	1,020.52	2,200.25	2,027.68	▼ (7.8%)	▲ 98.7%

Source: NSE, AIB-AXYS Africa Research



Looking ahead, despite the elevated prices in the market, in our view, there remains adequate headway to support the market, as we draw close to the end of the year. The easing monetary policy environment should be a plus, as returns in the fixed income market continue to be squeezed; the equities market continues to outperform other asset classes, this should present an attractive opportunity for investors to chase superior returns from a capital gains and dividend income perspective. We note, however, that market dividend yields have been dwindling as prices rise, in some cases trailing short-term government papers. The banking sector's third-quarter earnings season, which is set to take center stage in November, this will sustain heat in the street. We recommend a prudent long-term position anchored on fundamentally strong counters that can withstand seasonal pullbacks. Investors should also focus on stocks offering solid dividend yields to cushion returns during market corrections.

Table 4: NSE Top Movers Q3 2025

Top Movers 2025	Turnover (KES Mn)	Turnover (USD Mn)	Foreigners' Participation	Closing Price	% Change Quarterly
Safaricom Plc	KES 20,862.2	$161.43	1.7%	KES 28.90	▲ 15.6%
KCB Group	KES 13,692.0	$105.94	0.4%	KES 56.75	▲ 21.8%
Equity Group Holdings	KES 11,237.5	$86.95	0.4%	KES 58.00	▲ 18.6%
East African Breweries	KES 2,525.6	$19.54	2.4%	KES 211.00	▲ 13.1%
Standard Chartered Bank	KES 2,299.9	$17.80	0.3%	KES 284.00	▼ (5.3%)
Co-operative Bank of Kenya	KES 1,824.0	$14.11	0.1%	KES 21.40	▲ 19.6%
Stanbic Holdings	KES 1,512.3	$11.70	0.0%	KES 184.25	▲ 12.0%
KenGen Co.	KES 1,488.0	$11.51	0.3%	KES 8.62	▲ 15.5%
Absa Bank Kenya	KES 1,326.1	$10.26	0.1%	KES 21.50	▲ 12.0%
Kenya Power & Lighting Co	KES 1,251.3	$9.68	3.8%	KES 13.95	▲ 21.3%
British American Tobacco Kenya	KES 1,078.9	$8.35	0.0%	KES 427.50	▲ 18.4%
HF Group Plc	KES 872.3	$6.75	0.0%	KES 10.65	▲ 42.0%
Diamond Trust Bank	KES 813.3	$6.29	0.8%	KES 104.50	▲ 35.3%
Kenya Re Insurance Corporation	KES 805.9	$6.24	0.3%	KES 3.16	▲ 60.4%
I&M Holdings	KES 769.6	$5.95	0.2%	KES 43.00	▲ 20.3%

Source: NSE, AIB-AXYS Research



The top traded counters over the quarter were ***Safaricom, KCB Group,*** *and* ***Equity Group Holdings****,* with cumulative turnovers of ***KES 20.86 Bn, KES 13.69 Bn,*** *and* ***KES 11.24 Bn***, respectively. The top three counters retained their positions from the previous quarter, supported by high liquidity, resilient performance, and continued appetite from foreign investors, although foreign participation has been gradually declining except in August.

Looking ahead, we expect the next leg of the rally to be driven by blue-chip stocks, supported by resilient earnings and compressed returns in the fixed-income market. This momentum is likely to build as we move into 2026. Bullish sentiment was largely centered on **Safaricom Plc**, which recorded cumulative net inflows of **KES 333.80 Mn**. Interestingly, bearish sentiment was also concentrated on **Safaricom** Plc, which registered net outflows of **KES 359.39 Mn**.

Top Foreigner Net Buys & Sales Q3 2025

Top Net Foreigner Buys		**Top Net Foreigner Sales**	
Company	**Turnover**	**Company**	**Turnover**
Safaricom Plc	333,801.39	Safaricom Plc	359,390,622.70
KCB Group Plc	94,272.77	East African Breweries Plc	105,952,784.25
Equity Group Holdings Plc	63,974.68	ABSA New Gold ETF	100,830,430.00
Kenya Power & Lighting Co Plc	56,741.60	Kenya Power & Lighting Co Plc	38,123,872.90
East African Breweries Plc	14,005.88	Equity Group Holdings Plc	17,704,479.25
Diamond Trust Bank	10,890.37	Standard Chartered Bank Kenya Ltd	13,674,576.50
Jubilee Holdings Ltd	5,054.53	KenGen Co. Plc	7,753,790.80
I&M Group Plc	2,112.27	Umeme Ltd	3,771,990.08
Standard Chartered Bank Kenya Ltd	2,018.62	KCB Group Plc	3,602,089.50
The Co-operative Bank of Kenya Ltd	1,355.90	Kenya Re- Insurance Corporation Ltd	3,591,872.72

Source: NSE, AIB-AXYS Research

In Q1, penny stocks dominated the list of top gainers as speculative trading persisted. By Q3, the list featured a mix of speculative plays and renewed appetite for select counters, with blue chips and mid-caps notably absent. Their growth tends to be more gradual, driven by fundamental factors, unlike penny stocks, which are viewed as affordable and prone to sharp price swings. During the quarter, industrial residential real estate developer ***Sameer Africa*** stood out, surging by ***234.8%,*** while ***Express Kenya Limited*** *and* ***Car & General*** climbed by ***109.5%*** and ***85.0%,*** respectively. On the flip side, negative sentiment and a cloudy outlook triggered pullbacks in several counters on the top losers list. The major losers were **Umeme Ltd, Kenya Airways,** and **Nairobi Business Ventures**, with price corrections of ***55.1%, 18.7%, and 14.8%,*** respectively.

Q3 2025 Gainers and Losers (Capital Gains)

Top Gainers 2025	Closing Price		% Change
Sameer Africa	KES	15.00	▲ 234.8%
Express Kenya Ltd	KES	7.92	▲ 109.5%
Car & General	KES	38.85	▲ 85.0%
Home Afrika Ltd	KES	1.24	▲ 82.4%
Eaagads Ltd	KES	20.55	▲ 81.9%
E.A. Portland Cement	KES	58.75	▲ 64.8%
Nairobi Securities Exchang	KES	14.75	▲ 63.5%
CIC Insurance Group	KES	4.85	▲ 62.8%
Kapchorua Tea Kenya	KES	365.50	▲ 61.7%

Top Losers 2025	Closing Price		% Change
Umeme Ltd	KES	8.02	▼ (55.1%)
Kenya Airways Ltd	KES	3.91	▼ (18.7%)
Nairobi Business Ventures	KES	1.67	▼ (14.8%)
Standard Group	KES	5.90	▼ (9.2%)
Standard Chartered Bank	KES	284.00	▼ (5.3%)

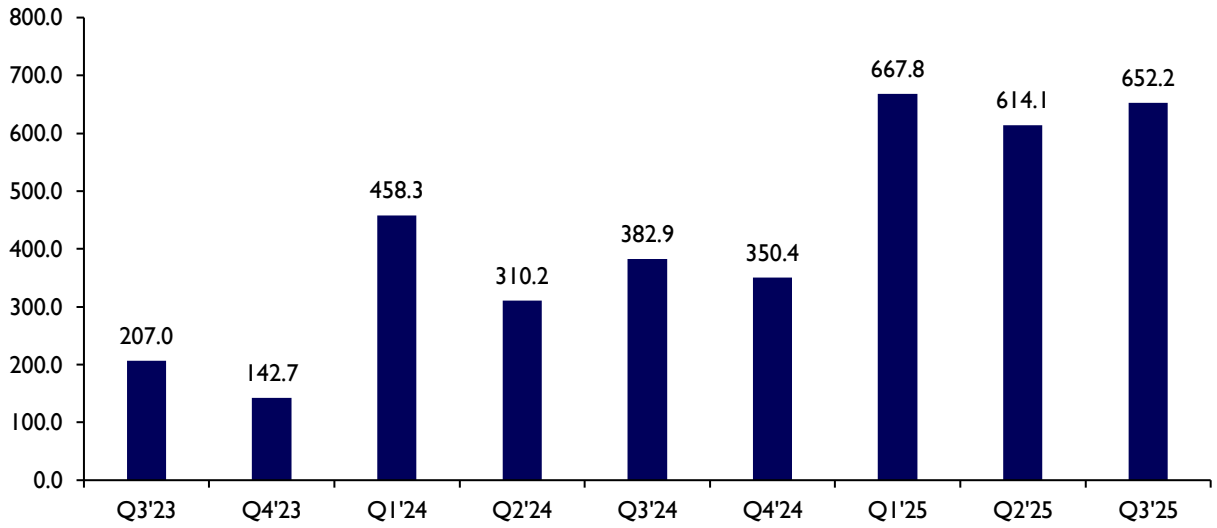
Source: NSE, AIB-AXYS Research

Fixed Income Outlook

Activities in the fixed income market remained robust during the third quarter, with turnover in the secondary market reaching KES 665.2 Bn *(excluding over-the-counter transactions)*. Notably, the YTD secondary bond turnover by the end of Q3'2025 stood at KES 1.9 Tn, already surpassing last year's full-year performance of KES 1.5 Tn - an indication of strong investor participation in the secondary bond market. This performance was supported by an accommodative policy environment, which created favorable exit opportunities for capital-focused investors, as older high-coupon bonds continued to attract attractive premiums. Additionally, investors who missed allocations in the primary bond auctions turned to the secondary market to gain exposure to these high-yield papers.

Chart 10: NSE Secondary Bond Market Turnover in KES

(excluding over-the-counter transactions).

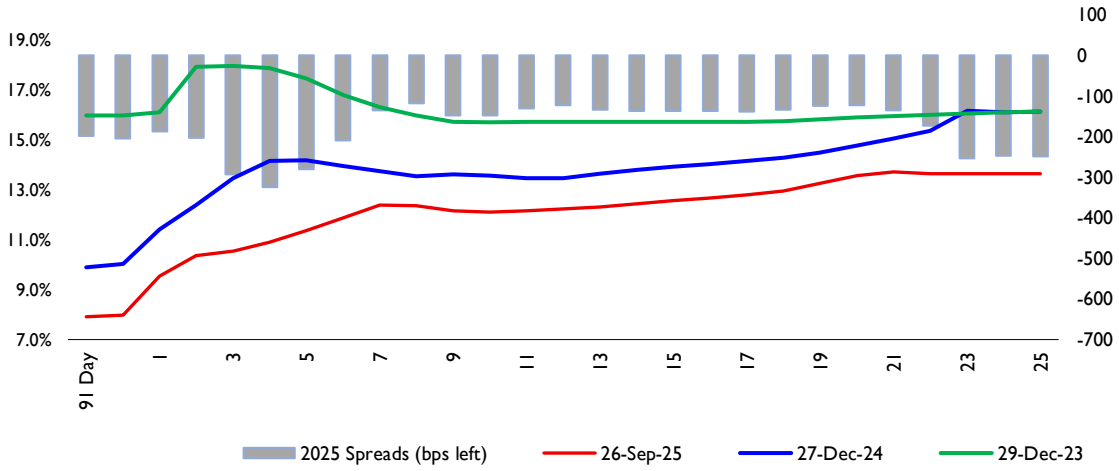


Source: NSE, AIB-AXYS Research

Going forward, we expect sustained activity in the secondary market as the government continues with its domestic borrowing plan, with several re-openings slated in the primary market throughout the financial year. We also expect the ongoing easing cycle to present good profit-taking opportunities for investors, further boosting market activity.

Yield Curve Evolution

Chart 11: NSE Secondary Bond Market Turnover in KES



Source: NSE, AIB-AXYS Research

The yield curve has continued to soften through the year, particularly on the front end, driven by an easing monetary cycle. The Monetary Policy Committee has implemented eight consecutive rate cuts since August 2024, which has continued to suppress returns in the fixed-income market as the government seeks to contain debt levels and stimulate lending to the private sector. During the quarter, 91-day and 182-day papers saw yields drop below 8.0%. Yields declined by an average of 29.66 bps and 23.76 bps on the short and medium ends of the curve, respectively. We are now seeing a normalization of the yield curve, evidenced by upward steepening.

Looking ahead, we believe the MPC still has room to adjust the Central Bank Rate (CBR) further in an effort to balance its dual mandate of curbing inflation and supporting economic growth. This should continue to soften yields in the near term, with the yield curve expected to keep normalizing. However, we foresee yields falling more rapidly on the shorter end of the curve compared to the long end.



Portfolio Recommendation

Strong Fundamentals Keep the Market on Course

2025 has been a resilient year for most asset classes both globally and locally. The Kenyan market has remained firm in local currency terms, and we believe even foreign investors have not shied away from investing in Kenya, given the stable currency that supports favorable returns once converted to their home currencies. All counters in our equities model portfolio have surpassed the target prices set at the beginning of the year, even after subsequent upgrades, underscoring the market's resilience. At the start of the year, we called for a resilient portfolio built on fundamentally sound counters backed by solid underlying businesses to support reasonable valuations.

Throughout the year, we have observed how the market has evolved, particularly within the banking sector, where most counters historically traded below book value. Notably, a few have now crossed above book value; regardless, the industry still presents attractive entry points for long-term positions. In our view, banks are likely to sustain earnings growth in the foreseeable future. Despite a low-interest-rate environment that poses challenges to revenue growth, lenders have tactically leveraged the easing monetary environment and contained cost of funds to sustain earnings. This trend has been evident in every earnings season. Therefore, we recommend selective positioning in key banking counters. The energy sector also presents a long-term, prudent capital appreciation opportunity in select counters with tangible moats to sustain earnings growth.

Timely execution remains key to capitalizing on attractive entry points for both capital appreciation and dividend income; especially as we approach the final stretch of the year when investors position themselves ahead of the full-year earnings season.

Portfolio Review and Management

As we draw close to the end of the year, we take stock of our portfolio performance. *So far, most counters in our portfolio have already surpassed expectations from a capital gains perspective. Since our selective portfolio construction strategy considers dividend value generation, our portfolio also benefited from dividend upgrades in select counters driven by improved earnings. Going forward, we remain bullish on the banking, energy and petroleum, manufacturing and allied and telecommunications sector*



Table 5: AIB-AXYS Equities Portfolio

Counter	Sector	Opening Price (as at 2nd May 2025)	Closing Price at 30th September 2025	Returns Excluding dividends(As at 30th September 2025)	Q4 Weightings
Kapchorua Tea	Agriculture	209.5	365.5	74.5%	5.00%
ABSA Bank Kenya	Banking	17.2	21.5	25.0%	10.00%
Equity Group	Banking	46.05	58	26.0%	10.00%
KCB Group	Banking	38.55	56.75	47.2%	15.00%
Standard Chartered Bank	Banking	270	284	5.2%	0.00%
KenGen Plc.	Energy & Petroleum	4.9	8.62	75.9%	10.00%
CIC Group	Insurance	2.94	4.85	65.0%	5.00%
British American Tobacco Kenya Plc	Manufacturing & Allied	372.5	427.5	14.8%	15.00%
Carbacid Investments	Manufacturing & Allied	19.35	25.7	32.8%	10.00%
East African Breweries Ltd	Manufacturing & Allied	171.75	211	22.9%	10.00%
Co-operative Bank of Kenya	Banking	14.4	21.4	48.6%	10.00%

Source: NSE, AIB-AXYS Africa Research



AIB-AXYS Africa Fixed Income Portfolio recommendation 2025

For fixed income, we advise cautious investors to consider taking positions in longer-tenor bonds to capture potential gains from the ongoing decline in interest rates, as these securities tend to experience stronger price appreciation. For investors focused on steady income, we recommend the following selection of coupon-bearing bonds.

Table 6: Top Ten Bonds by Coupon Rate

Issue No.	Next Coupon Payment Date	Maturity Date	Tenor to Maturity (Years)	Fixed Coupon Rate*	Modified Duration (%)
IFB1/2024/8.5	16-Feb-26	Aug-32	6.8	18.46%	4.8
FXD1/2024/003	12-Jan-26	Jan-27	1.2	18.39%	2.4
IFB1/2023/6.5	10-Nov-25	May-30	4.5	17.93%	4.2
FXD1/2023/005	12-Jan-26	Jul-28	2.7	16.84%	3.5
FXD1/2024/010	23-Mar-26	Mar-34	8.4	16.00%	5.4
IFB1/2023/007	15-Dec-25	Jun-30	4.6	15.84%	4.4
FXD1/2016/010	16-Feb-26	Aug-26	0.8	15.04%	5.9
IFB1/2023/017	9-Mar-26	Feb-40	14.4	14.40%	6.7
FXD1/2023/003	10-Nov-25	May-26	0.5	14.23%	2.5
FXD1/2022/025	20-Apr-26	23-Sep-47	22.0	14.19%	7.3



	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)	Deviation from Yield Curve
Nov-24	25,000	FXD1/2023/010 Re-opened	8.3		14.151%	16.150%	15.972%	-17
		FXD1/2022/015 Re-opened	12.5	**132.2%**	13.942%	16.385%	16.299%	-21
	20,000	FXD1/2024/010 Re-opened	9.4	**277.9%**	16.000%	16.113%	15.855%	25
Dec-24	25,000	FXD1/2023/010 Re-opened	8.2		14.151%	14.864%	14.691%	84
		FXD1/2018/020 Re-opened	13.3	**285.3%**	13.200%	15.271%	15.112%	85
	20,000	FXD1/2024/010 Re-opened	9.3	**268.1%**	16.000%	14.782%	14.685%	4
Jan-25	30,000	FXD1/2018/015 Re-opened	8.3		12.650%	14.329%	14.210%	75
		FXD1/2022/025 Re-opened	22.8	**196.7%**	14.188%	15.743%	15.683%	8
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%	27
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%	118.5
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%	51
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%	82.39
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%	124.3
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%	65.33
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%			
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%	145.42
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%	130.24
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%	137.9
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%	70.9
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%	152.55
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%	140.19
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%	137.85
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%	44.52
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%	41.5
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%		
		IFBI/2022/019 Re-Tapsale	15.6	**414.9%**	12.965%	14.237%		
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%	64.4
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%	146.4
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%	26.7
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%	21.8
Average*	**43,000**		**13.4**	**214.7%**	**13.654%**	**14.683%**	**14.279%**	**73.033**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*

Q4 INVESTMENT PLAY 2025



AIB AXYS AFRICA

AGRICULTURAL	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Eaagads Ltd	20.55	▲ 1.7%	▲ 71.3%	9,682	40.23	660.8	0.02%	(1.91)	-	(10.8x)	0.5x	0.0%	0.0%	0.0%	0.0%
Kakuzi Plc	424.50	▲ 0.2%	▲ 10.3%	20	279.19	8,320.2	0.30%	(9.37)	-	(45.3x)	1.5x	0.0%	0.0%	0.0%	0.0%
Kapchorua Tea Kenya Plc	365.50	▲ 9.4%	▲ 55.5%	8,826	268.30	2,859.7	0.10%	(2.39)	25.00	(152.9x)	1.4x	6.8%	107.9%	8.6%	63.7%
The Limuru Tea Co. Plc	380.00	-	▲ 8.6%	714	63.73	912.0	0.03%	(12.78)	-	(29.7x)	6.0x	0.0%	0.0%	0.0%	0.0%
Sasini Plc	18.55	▼ (1.3%)	▲ 24.5%	8,806	93.17	4,230.4	0.15%	(3.13)	-	(5.9x)	0.2x	0.0%	0.0%	0.0%	0.0%
Williamson Tea Kenya Plc	275.00	▲ 4.0%	▲ 21.4%	60,269	360.45	4,816.0	0.17%	(40.81)	10.00	(6.7x)	0.8x	3.6%	(114.2%)	0.0%	0.0%
Industry Median		**▲ 1.0%**	**▲ 23.0%**			**21,799.1**	**0.77%**			**(20.2x)**	**1.1x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**

AUTOMOBILES & ACCESSORIES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Car & General (K) Ltd	38.85	▲ 1.0%	▲ 70.8%	21,340	155.99	1,558.0	0.06%	(3.33)	0.30	(11.7x)	0.2x	0.8%	(9.0%)	0.0%	0.0%

BANKING	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
ABSA Bank Kenya Plc	21.50	▲ 3.6%	▲ 19.1%	96,015	16.39	116,778.0	4.15%	4.02	1.75	5.3x	1.3x	8.1%	45.6%	24.5%	4.1%
BK Group Plc	38.40	▲ 0.4%	▲ 18.0%	2,188	48.73	34,435.6	1.22%	3.24	2.64	11.9x	0.8x	6.9%	102.9%	6.6%	1.2%
Diamond Trust Bank Kenya Ltd	104.50	▲ 0.2%	▲ 51.4%	120,709	322.98	29,218.4	1.04%	28.83	7.00	3.6x	0.3x	6.7%	25.6%	8.9%	1.3%
Equity Group Holdings Plc	58.00	▲ 0.4%	▲ 20.1%	232,003	73.16	218,873.1	7.77%	12.34	4.25	4.7x	0.8x	7.3%	34.4%	16.9%	2.6%
HF Group Plc	10.65	▲ 1.9%	▲ 136.1%	130,390	11.22	15,903.8	0.56%	0.90	-	11.8x	0.9x	0.0%	0.0%	8.0%	1.7%
I&M Group Plc	43.00	-	▲ 18.6%	112,318	61.34	74,669.5	2.65%	9.66	3.00	4.5x	0.7x	7.0%	32.3%	15.7%	2.8%
KCB Group Plc	56.75	-	▲ 36.4%	484,280	95.48	182,364.0	6.47%	18.21	4.00	3.1x	0.6x	7.0%	21.4%	19.1%	3.0%
NCBA Group	69.00	▼ (0.4%)	▲ 43.2%	9,375	71.89	113,678.8	4.04%	14.02	5.75	4.9x	1.0x	8.3%	43.3%	19.5%	3.5%
Stanbic Holdings Plc	184.25	-	▲ 34.2%	37,512	187.86	72,838.0	2.59%	33.01	22.70	5.6x	1.0x	12.3%	65.4%	17.6%	2.8%
Standard Chartered Bank Kenya Ltd	284.00	▼ (0.3%)	▲ 1.5%	50,828	173.61	107,309.5	3.81%	40.75	8.00	7.0x	1.6x	2.8%	22.1%	23.5%	4.1%
The Co-operative Bank of Kenya Ltd	21.40	▲ 2.1%	▲ 30.1%	594,324	26.64	125,557.7	4.46%	4.39	1.50	4.9x	0.8x	7.0%	34.6%	16.5%	3.2%
Industry Median		**▲ 0.2%**	**▲ 30.1%**			**1,091,626.5**	**38.75%**			**4.9x**	**0.8x**	**7.0%**	**34.4%**	**16.9%**	**2.8%**

COMMERCIAL AND SERVICES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Eveready East Africa Ltd	1.41	-	▲ 22.6%	26,512	0.30	296.1	0.01%	(0.28)	-	(5.0x)	4.8x	0.0%	0.0%	0.0%	0.0%
Express Kenya Plc	7.92	▲ 9.4%	▲ 120.0%	10,052	7.74	377.9	0.01%	(2.26)	-	(3.5x)	1.0x	0.0%	0.0%	0.0%	0.0%
Homeboyz Entertainment Plc	4.66	-	-	0	-0.35	294.5	0.01%	(0.71)	-	(6.6x)	(13.2x)	0.0%	0.0%	0.0%	0.0%
Kenya Airways Ltd	3.91	▼ (1.5%)	▲ 2.1%	543,350	-22.25	22,771.8	0.81%	0.74	-		(0.2x)	0.0%	0.0%	(4.2%)	3.0%
Longhorn Publishers Plc	3.02	▲ 1.0%	▲ 31.3%	18,435	-0.52	822.8	0.03%	(1.89)	-	(1.6x)	(5.8x)	0.0%	0.0%	0.0%	0.0%
Nairobi Business Ventures Ltd	1.67	▲ 3.1%	▼ (16.9%)	54,185	1.41	2,260.7	0.08%	0.01	-	180.8x	1.2x	0.0%	0.0%	0.7%	0.4%
Nation Media Group Plc	13.35	▲ 1.9%	▼ (7.3%)	32,207	2.50	2,768.7	0.10%	(3.00)	-	(4.5x)	5.3x	0.0%	0.0%	0.0%	0.0%
Sameer Africa Plc	15.00	▼ (4.5%)	▲ 517.3%	54,372	2.98	4,175.1	0.15%	0.93	-	16.1x	5.0x	0.0%	0.0%	31.2%	16.3%
Standard Group Plc	5.90	▼ (1.3%)	▲ 17.5%	1,888	-28.82	482.2	0.02%	(10.15)	-	(0.6x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
TPS Eastern Africa (Serena) Ltd	15.00	▼ (2.3%)	▲ 0.7%	504	62.15	2,732.6	0.10%	4.55	0.35	3.3x	0.2x	2.3%	7.7%	7.3%	4.2%
Uchumi Supermarket Plc	0.38	▲ 2.7%	▲ 123.5%	539,149	-11.73	138.7	0.00%	(5.56)	-	(0.1x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
WPP Scangroup Plc	2.91	▼ (2.3%)	▲ 17.3%	20,641	10.89	1,257.6	0.04%	(1.17)	-	(2.5x)	0.3x	0.0%	0.0%	0.0%	0.0%
Industry Median		**-**	**▲ 17.4%**			**15,606.9**	**0.55%**			**(2.0x)**	**0.3x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**

CONSTRUCTION & ALLIED	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Bamburi Cement Ltd	54.00	-	▼ (1.8%)	0	69.50	19,599.8	0.70%	(1.97)	23.72	(27.4x)	0.8x	43.9%	(850.2%)	0.0%	0.0%
Crown Paints Kenya Plc	59.50	▲ 3.5%	▲ 80.9%	2,251	25.41	8,470.5	0.30%	1.34	-	44.4x	2.3x	0.0%	0.0%	5.3%	2.1%
E.A Cables Ltd	1.71	-	▲ 58.3%	0	0.34	432.8	0.02%	0.37	-	4.6x	5.1x	0.0%	0.0%	110.1%	1.9%
E.A Portland Cement Co. Ltd	58.75	▼ (0.8%)	▲ 92.0%	1,602	226.97	5,287.5	0.19%	20.26	-	2.9x	0.3x	0.0%	0.0%	8.9%	5.2%
Industry Median		**-**	**▲ 69.6%**			**33,790.7**	**1.20%**			**3.8x**	**1.6x**	**0.0%**	**0.0%**	**7.1%**	**2.0%**

ENERGY & PETROLEUM	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
KenGen Co. Plc	8.62	▼ (1.1%)	▲ 136.8%	3,734,325	42.33	56,844.8	2.02%	1.11	0.65	7.8x	0.2x	7.5%	85.5%	2.6%	1.5%
Kenya Power & Lighting Co Plc	13.95	▲ 1.5%	▲ 190.0%	1,872,278	49.85	27,223.0	0.97%	15.41	0.70	0.9x	0.3x	5.0%	4.5%	30.9%	8.2%
TotalEnergies Marketing Kenya Plc	34.00	▼ (1.2%)	▲ 70.0%	261	51.78	21,404.4	0.76%	4.74	1.92	7.2x	0.7x	5.6%	42.9%	9.2%	4.9%
Umeme Ltd	8.02	▲ 1.0%	▼ (52.1%)	1,735,243	1.56	13,023.5	0.46%	(11.58)	7.96	(0.7x)	5.1x	99.3%	(68.8%)	0.0%	0.0%
Industry Median		**▼ (0.1%)**	**▲ 103.4%**			**118,495.7**	**4.21%**			**4.0x**	**0.5x**	**6.6%**	**23.7%**	**5.9%**	**3.2%**

INSURANCE	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Britam Holdings Plc	8.92	▲ 0.7%	▲ 53.8%	360,507	12.27	22,509.5	0.80%	1.86	-	4.8x	0.7x	0.0%	0.0%	15.2%	2.1%
CIC Insurance Group Ltd	4.85	▼ (2.2%)	▲ 125.6%	131,062	4.64	12,685.4	0.45%	1.22	0.13	4.0x	1.0x	2.7%	12.5%	26.3%	4.5%
Jubilee Holdings Ltd	314.25	▼ (0.2%)	▲ 81.1%	514	743.02	22,774.6	0.81%	72.14	13.50	4.4x	0.4x	4.3%	20.8%	9.7%	2.3%
Kenya Re- Insurance Corporation Ltd	3.16	-	▲ 146.9%	1,276,209	9.27	17,694.7	0.63%	0.81	0.15	3.9x	0.3x	4.7%	19.0%	8.7%	6.6%
Liberty Kenya Holdings Ltd	10.95	-	▲ 63.9%	11,005	2.90	5,866.0	0.21%	1.86	-	5.9x	3.8x	0.0%	0.0%	64.1%	23.6%
Sanlam Kenya Plc	9.00	▲ 0.7%	▲ 81.8%	10,205	5.98	5,796.0	0.21%	9.95	-	0.9x	1.5x	0.0%	0.0%	166.3%	15.5%
Industry Median		**-**				**87,326.2**	**3.10%**			**4.2x**	**0.9x**	**1.3%**	**6.3%**	**20.7%**	**5.6%**

INVESTMENT	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Centum Investment Co Plc	15.25	▲ 0.7%	▲ 54.4%	61,597	64.97	10,149.7	0.36%	3.32	0.32	4.6x	0.2x	2.1%	15.6%	5.1%	2.7%
Home Afrika Ltd	1.24	▼ (6.1%)	▲ 235.1%	1,108,190	-4.41	502.5	0.02%	0.17	-	7.3x	(0.3x)	0.0%	0.0%	(3.9%)	1.9%
Kurwitu Ventures Ltd	1,500.00	-	-	0	502.63	153.4	0.01%	(35.95)	-	(41.7x)	3.0x	0.0%	0.0%	0.0%	0.0%
Olympia Capital Holdings Ltd	5.96	▲ 2.4%	▲ 112.9%	11,900	42.35	238.4	0.01%	0.31	-	19.3x	0.1x	0.0%	0.0%	0.7%	0.6%
Trans-Century Plc	1.12	-	▲ 187.2%	0	-38.80	420.2	0.01%	(6.10)	-	(0.2x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
Industry Median		**-**	**▲ 112.9%**			**11,464.2**	**0.41%**			**4.6x**	**0.1x**	**0.0%**	**0.0%**	**0.0%**	**0.6%**

INVESTMENT SERVICES	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Nairobi Securities Exchange Plc	14.75	▼ (1.3%)	▲ 145.8%	38,497	4.01	3,840.8	0.14%	0.45	0.32	32.8x	3.7x	2.2%	71.1%	11.2%	5.1%

MANUFACTURING & ALLIED	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
B.O.C Kenya Plc	121.00	▼ (0.8%)	▲ 36.3%	830	109.00	2,362.6	0.08%	10.84	2.50	11.2x	1.1x	2.1%	23.1%	9.9%	8.6%
British American Tobacco Kenya Plc	427.50	▼ (0.1%)	▲ 13.7%	21,162	147.65	42,750.0	1.52%	37.97	55.00	11.3x	2.9x	12.9%	122.7%	25.7%	22.7%
Carbacid Investments Plc	25.70	▲ 1.4%	▲ 22.7%	61,910	17.97	6,549.7	0.23%	3.31	-	7.8x	1.4x	0.0%	0.0%	18.4%	18.5%
East African Breweries Plc	211.00	▼ (1.4%)	▲ 20.2%	6,555	40.73	219,074.0	7.78%	12.47	8.00	16.9x	5.2x	3.8%	64.2%	30.6%	9.9%
Flame Tree Group Holdings Ltd	1.60	▼ (4.8%)	▲ 60.0%	94,601	6.88	284.9	0.01%	1.13	-	1.4x	0.2x	0.0%	0.0%	16.4%	5.4%
Africa Mega Agricop Plc	65.00	-	▼ (7.1%)	0	2.18	836.4	0.03%	0.13	-	500.0x	29.8x	0.0%	0.0%	6.0%	1.2%
Unga Group Ltd	24.10	▼ (3.2%)	▲ 60.7%	3,635	70.45	1,824.6	0.06%	(0.74)	-	(32.6x)	0.3x	0.0%	0.0%	0.0%	0.0%
Shri Krishana Overseas Plc	8.26	▲ 2.2%	▲ 40.0%	44,335		417.1	0.01%								
Industry Median			**▲ 22.7%**			**273,682.2**	**9.72%**			**11.2x**	**1.4x**	**0.0%**	**0.0%**	**16.4%**	**8.6%**

TELECOMMUNICATION	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
Safaricom Plc	28.90	▼ (0.3%)	▲ 69.5%	10,978,640	4.44	1,157,890.9	41.10%	1.59	1.20	18.2x	6.5x	4.2%	69.0%	35.9%	12.4%
Market Average		**▲ 0.0%**	**▲ 91.9%**							**4.5x**	**1.6x**	**2.0%**		***10.4%***	***3.7%***



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